Current Trends in India Economy - II

Reference: Summary of Economics Survey 2025-26

Indraprastha Institute of Information Technology, Delhi

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Demographic Dividend and Education

- Key Source: APU State of Working India 2026 (Clickable)
- India is approaching the peak of its demographic dividend expected to peak around 2030.
- The population ages 15-29 is approximately 367 million (263 million not in education)
- Share of young men in higher education fell from 38% in 2017 to 34% in 2024.
- Between 1983 and 2017, the country made considerable gains in higher education, particularly among women.

Higher Education

- Number of higher education institutions has increased 1,644 to 69,534 (driven by private sector) since liberalization.
- Regional disparities remain a concern.
- Vocational training via Industrial Training Institutes (ITIs) grew by 300% since 2005. Quality?
- Cost is as concern, especially fields like engineering and private medical colleges.
- For the poorest quartile of households, costs exceed total annual per capita expenditure

Higher Education and Employment

- Share of students from the poorest households rose to 15% by 2017
- Access to professional fields remains a challenge.
- Employment has grown over the last 1-2 decades, unemployment percentages still remain high (problem of scale).
- 5 million graduates added annually, 2.8 million find employment.
- However, this number is tricky to interpret. Graduate unemployment is high but so is the number of graduates relative to before.

Sectoral Shifts

- Movement away from agriculture.
- This is not limited to growth of services in IT.
- Migration has lead to both labor demand being met and higher paying jobs.
- Returns on graduate employment is less than before. This can be a result of quality.

Unemployment Data

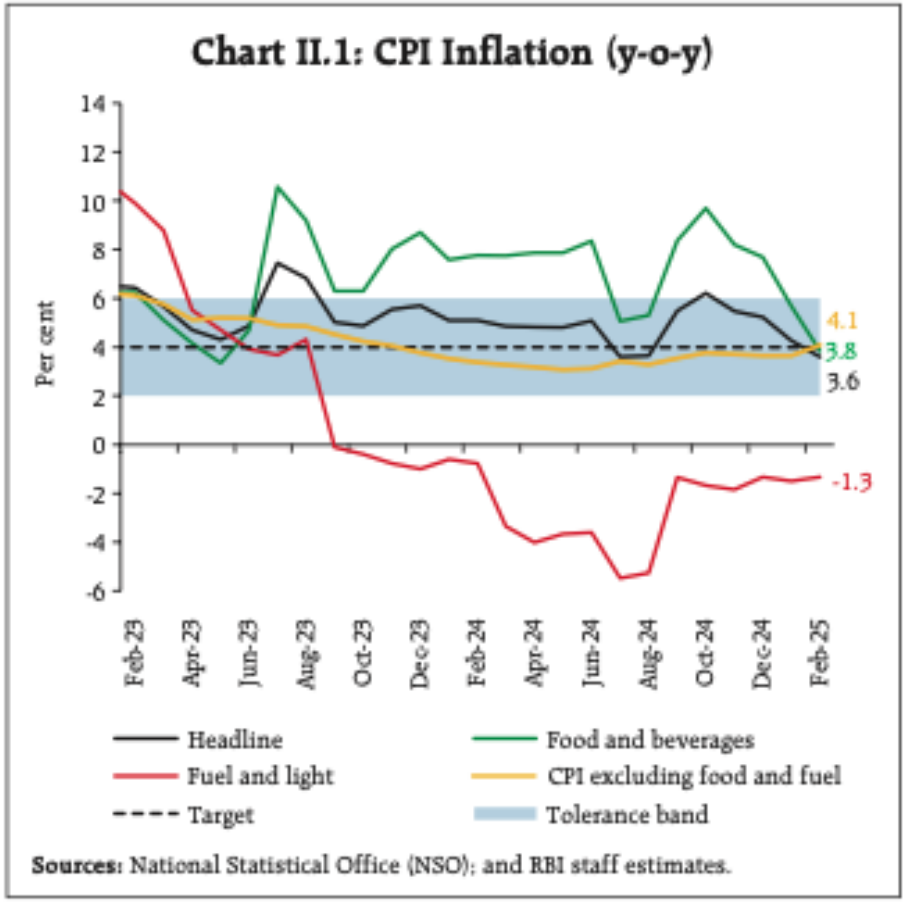
Table 8.12: Unemployment Rate (UR) (in per cent) according to current weekly status for different States (For persons, 15 years & above)

States/UTs	2025-26	
	Apr-Jun	July-Sept
(1)	(2)	(3)
Andhra Pradesh	8.3	8.2
Assam	4.8	5.2
Bihar	5.2	4.8
Chhattisgarh	7.9	5.6
Delhi	6.9	6.6
Gujarat	2.2	2.2
Haryana	5.7	6.2
Himachal Pradesh	6.5	7.9
Jammu & Kashmir	4.3	4.3
Jharkhand	2.6	2.8
Karnataka	8.1	8.0
Kerala	4.2	3.7
Madhya Pradesh	5.6	5.1
Maharashtra	6.4	4.5
Odisha	6.5	6.5
Punjab	8.8	7.4
Rajasthan	5.9	5.7
Tamil Nadu	6.9	5.7
Telangana	3.6	8.9
Uttarakhand	4.9	5.9
Uttar Pradesh	3.7	3.7
West Bengal	5.8	6.1
All-India	**5.4**	**5.2**

Source: Various rounds of quarterly Periodic Labour Force Survey (PLFS) bulletins, Ministry of Statistics and Programme Implementation
Note: UR is defined as the percentage of persons unemployed among the persons in the labour force.

Source Click here

Inflation



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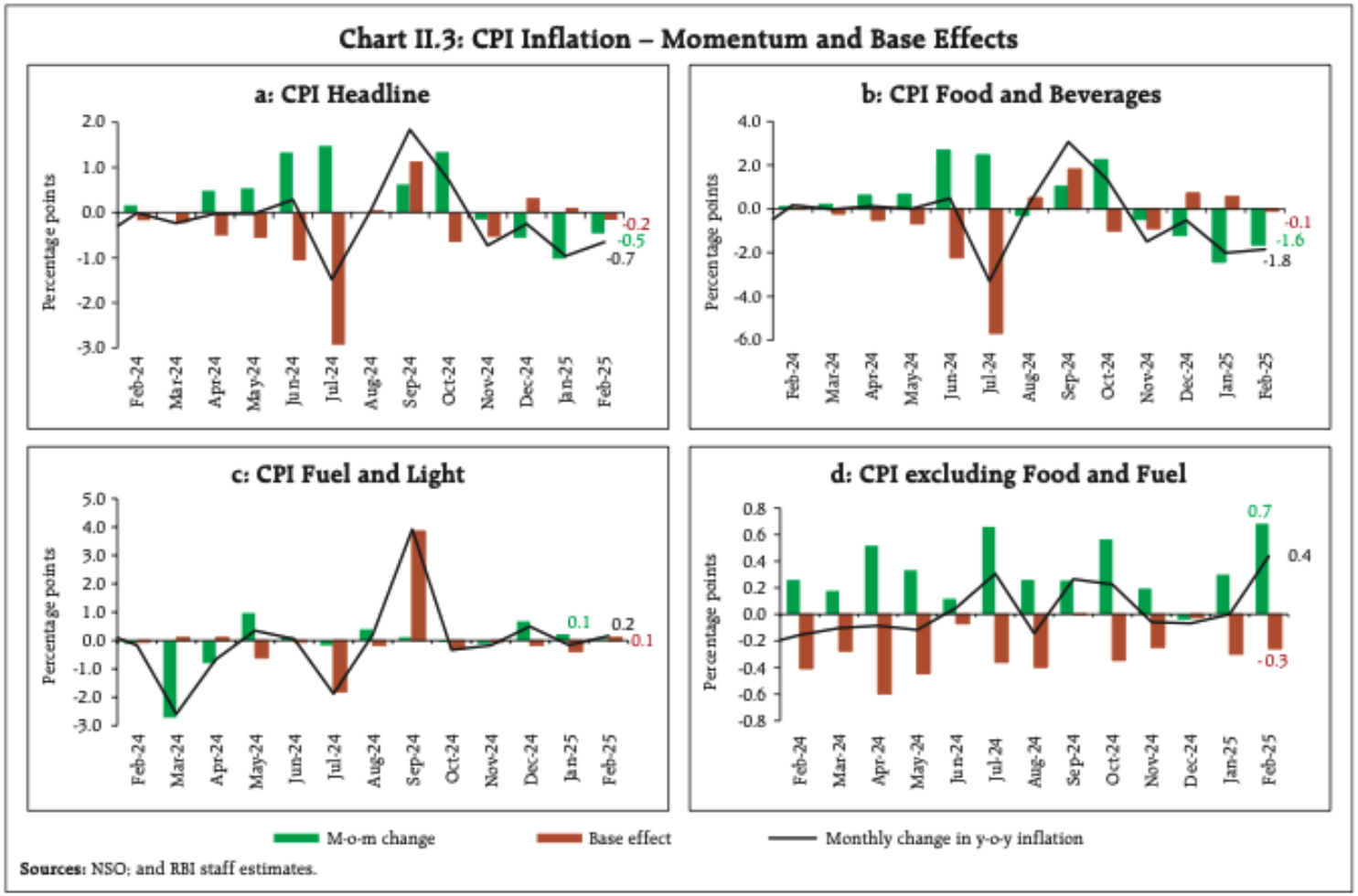

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